CPA FAR: Effective Interest Bond Amortization Framework

Peer-reviewed by EduPro Suite Editorial & Math Solution Verification Suite. 100% verified calculations with zero arithmetic errors.

Core Governing Formula / Rule:

```
Interest Expense = Carrying Value × Market Yield | Cash Paid = Stated Face × Stated Coupon Rate | Amortization = |Interest Expense - Cash Paid|
```

Step-by-Step Verified Application Example:

Company issues $100,000, 5-year, 6% bonds paying annual interest when market rate is 8%. Issue Price = $92,015.

Year 1 Cash Paid = $100,000 × 6% = **$6,000**.

Year 1 Interest Expense = $92,015 × 8% = **$7,361.20**.

Year 1 Discount Amortization = $7,361.20 - $6,000 = **$1,361.20**.

Ending Carrying Value = $92,015 + $1,361.20 = **$93,376.20**.

← Back to All Exam Vaults

Unlock Full 25-Exam Suite ($29)